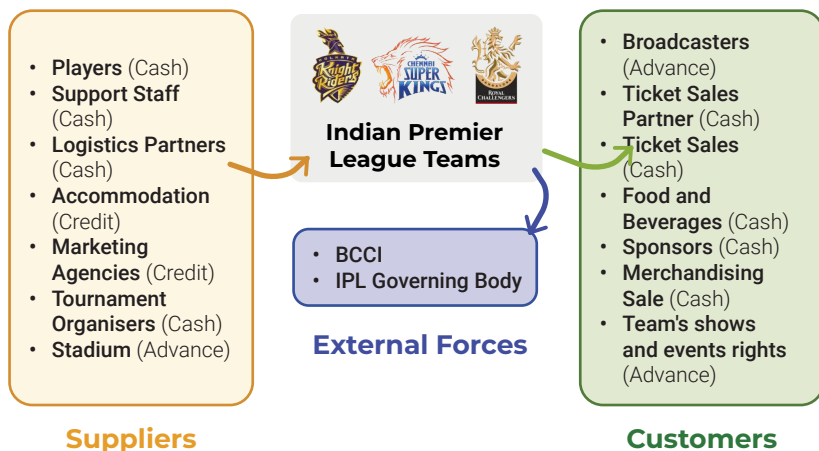


It shows how cash flows between different participants.^[5]



The industry map is one of the strong models that give a visual representation of all players involved in the functioning of the industry, their economic relationship, and their potential impact on profitability. The constituents of the industry map can be classified primarily into three—**suppliers, customers, and external forces**.

The map should identify all the constituents and companies that may influence profitability. It should also identify the various companies that are dominant in the related industries.

Explaining Industry Map

The adjacent diagram shows the industry map for retail banks for India. It includes the various suppliers and buyers with whom the companies in the industry need to interact. It shows the kind of economic relation the industry shares with the others. It can be used to evaluate the various profit forces and the impact that they have on the industry.

The same can also be used to understand the cash flow cycle of the industry. It shows whether expenses are cash or credit and similarly income is cash or credit. It also is an indicator of company's bargaining power over suppliers and competitors.

Any of these industries on the industry map can affect the given industry. It helps track and better understand the changes.